



ORIENT FINANCE PLC

Unaudited Interim Financial Statements
For the Six Months Ended 30 September 2021

ORIENT FINANCE PLC
INCOME STATEMENT

For the	03 Months Ended 30th September		06 Months Ended 30th September	
	2021	2020	2021	2020
	Rs.	Rs.	Rs.	Rs.
	Unaudited	Unaudited	Unaudited	Unaudited
Income	701,766,070	618,049,672	1,340,274,322	1,183,395,411
Interest income	656,899,221	565,200,220	1,253,329,527	1,099,620,222
Interest expenses	(268,805,299)	(341,137,466)	(535,686,073)	(713,043,140)
Net interest income	388,093,922	224,062,754	717,643,454	386,577,082
Fee and commission income	27,315,368	33,623,717	48,841,408	58,791,225
Other operating income	70,209,118	19,225,735	90,761,024	24,983,965
Total operating income	485,618,408	276,912,206	857,245,886	470,352,271
Impairment charges for loans and receivables to customers	(44,593,607)	(20,521,900)	(79,803,495)	(64,763,111)
Net operating income	441,024,801	256,390,305	777,442,391	405,589,160
Operating expenses				
Personnel expenses	(116,089,654)	(101,273,497)	(228,692,179)	(206,788,498)
Depreciation and amortization	(14,089,201)	(1,641,118)	(27,585,871)	(17,261,818)
Other operating expenses	(134,292,595)	(119,985,769)	(267,563,457)	(197,436,825)
Operating profit/(loss) before Value Added Tax	176,553,350	33,489,921	253,600,884	(15,897,980)
Value Added Tax and NBT on financial services	(28,739,001)	(3,054,291)	(45,907,834)	(4,879,004)
Profit/(loss) before income tax	147,814,349	30,435,630	207,693,050	(20,776,983)
Income tax expense	(7,092,201)	-	(7,092,201)	-
Profit/(loss) for the period	140,722,148	30,435,630	200,600,849	(20,776,983)
Other comprehensive income/(expenses)				
Change in fair value of financial assets at fair value through other comprehensive income	4,120,744	0	8,033,151	0
Total comprehensive income/(expenses) for the period net of tax	144,842,892	30,435,630	208,634,000	(20,776,983)
Weighted Average Earnings Per Share (Rs.)	0.69	0.15	0.99	(0.11)
Diluted earnings per share (Rs.)	0.69	0.15	0.99	(0.11)

Figures in brackets indicate deductions.

Colombo
15th November 2021

ORIENT FINANCE PLC
STATEMENT OF FINANCIAL POSITION

As At

	30th September 2021 Rs.	31st March 2021 Rs.
ASSETS	Unaudited	Audited
Cash and cash equivalents	396,241,433	225,161,509
Financial assets - fair value through other comprehensive income	880,221,585	849,632,814
Loans and receivables to customers	11,985,466,762	11,447,030,340
Investments with banks and other financial institutions	238,273,262	31,684,600
Other assets	369,037,400	269,749,720
Real estate stock	23,148,414	24,764,518
Deferred tax asset	370,887,354	370,832,054
Goodwill	564,545,746	564,545,746
Brand value	235,880,000	235,880,000
Intangible assets	50,664,120	50,664,120
Property, plant and equipment	58,776,221	61,805,370
Right of use assets	129,167,820	129,167,820
Investment properties	628,000,002	628,000,002
Total assets	15,930,310,118	14,888,918,620
LIABILITIES		
Due to banks - bank overdrafts	628,665,277	79,180,458
Deposits from customers	8,781,304,452	8,692,940,933
Interest bearing borrowings	2,650,506,129	2,650,800,328
Right-of-use of Liability	104,375,186	104,375,186
Other liabilities	620,768,797	434,886,967
Retirement benefit obligations	49,126,268	39,804,738
Total liability	12,834,746,107	12,001,988,610
EQUITY		
Stated capital	2,431,879,039	2,431,879,039
Statutory reserve fund	330,437,030	330,437,030
Revaluation reserve	141,120,773	141,120,773
Retained earnings/(accumulated losses)	192,127,168	(16,506,832)
Total equity	3,095,564,011	2,886,930,010
Total equity and liabilities	15,930,310,118	14,888,918,620
Net assets per share	14.66	13.68

Figures in brackets indicate deductions.

The financial statements are in compliance with the requirements of the Companies Act No.07 of 2007.

Sgd.
Sanjeeva Jayasinghe
Head of Finance

Sgd.
K.M.M.Jabir
Chief Executive Officer/Director

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Approved and signed for and on behalf of the Board.

Sgd.
Mr. Anil Tittawella
Chairman

Sgd.
Mr. Prakash Schaffter
Director

Colombo
15th November 2021

ORIENT FINANCE PLC
STATEMENT OF CHANGES IN EQUITY

For the period ended 30th September

	Stated Capital Rs.	Statutory reserve fund Rs.	Revaluation reserve Rs.	Retained earnings Rs.	Total Rs.
Balance as at 01st April, 2020	2,431,879,039	311,080,742	141,120,773	(173,870,945)	2,710,209,609
Profit/(Loss) for the six months	-	-	-	(20,776,983)	(20,776,983)
Other comprehensive income (expense) net of taxes	-	-	-	-	-
Balance as at 30th September 2020	<u>2,431,879,039</u>	<u>311,080,742</u>	<u>141,120,773</u>	<u>(194,647,928)</u>	<u>2,689,432,626</u>
Balance as at 01st April, 2021	2,431,879,039	330,437,030	141,120,773	(16,506,832)	2,886,930,010
Profit/(Loss) for the six months	-	-	-	200,600,849	200,600,849
Other comprehensive income (expense) net of taxes				8,033,151	8,033,151
Balance as at 30th September 2021	<u>2,431,879,039</u>	<u>330,437,030</u>	<u>141,120,773</u>	<u>192,127,168</u>	<u>3,095,564,011</u>

Figures in brackets indicate deductions.

Colombo
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ORIENT FINANCE PLC
STATEMENT OF CASH FLOWS

For the period ended 30th September

	2021	2020
	Rs.	Rs.
	Unaudited	Unaudited
Cash flows from operating activities		
Profit/(loss) before income tax expense	207,693,050	(20,776,983)
Adjustment for:		
Depreciation/amortization	27,585,871	17,261,818
Loss on disposal of property, plant and equipment	(157,188)	(110,351)
Impairment charges for loans and receivables to customers	27,145,858	64,763,111
Finance expenses	535,686,073	713,043,140
Investment income	(30,453,610)	(27,274,651)
Provision for gratuity	10,110,000	7,866,049
Operating profit/(Loss) before working capital changes	777,610,053	754,772,132
Change in loans and receivables to customers	(618,239,917)	110,328,104
Change in other assets	(99,287,680)	(42,873,965)
Change in deposits from customers	119,063,918	(235,456,807)
Change in other liabilities	143,442,264	165,975,221
	322,588,637	752,744,686
Rent Paid	(42,216,224)	(31,595,953)
Interest paid	(401,294,495)	(481,864,485)
Gratuity paid	(788,471)	(7,929,569)
Net cash from/(used in) operating activities	(121,710,553)	231,354,680
Cash flows from investing activities		
Acquisition of property, plant and equipment and intangible assets	3,029,150	(5,910,810)
Proceeds from sale of property, plant and equipment	-	132,382
Net change in available for sale financial assets	(30,588,771)	383,382,406
Net change in investments with bank and other financial institutions	(206,588,662)	51,852,772
Investment income received	30,453,610	28,042,651
Net cash generated from/(used in) investing activities	(203,694,674)	457,499,400
Cash flows from financing activities		
Interest bearing borrowings obtained	2,315,000,000	2,340,522,894
Repayment of interest bearing borrowings	(2,222,831,543)	(2,493,690,602)
Interest Paid on Borrowings	(145,168,125)	(188,525,881)
Repayment of Preference Share Capital	-	0
Net cash generated from/(used in) financing activities	(52,999,668)	(341,693,589)
Net change in cash and cash equivalents	(378,404,894)	347,160,491
Cash and cash equivalents at the beginning of the Period	145,981,051	(194,895,886)
Cash and cash equivalents at the end of the Period (Note A)	(232,423,844)	152,264,605
Note A		
Analysis of cash and cash equivalents at the end of the Period		
Cash in hand	246,789,890	92,155,060
Cash at bank	149,451,543	124,722,657
Bank overdrafts - secured	(628,665,277)	(64,613,113)
	(232,423,844)	152,264,605

Figures in brackets indicate deductions.

Colombo
15th November 2021

ORIENT FINANCE PLC
NOTES TO THE FINANCIAL STATEMENTS

FINANCIAL REPORTING BY SEGMENTS

The company has four reportable segments, as described below, which are the company's strategic divisions. The strategic divisions offer different products and services, which are managed separately because they require different technology and marketing strategies. For each of the strategic divisions, the company's management reviews internal management reports on at least a monthly basis. The following summary describes the operations in each of the company's reportable segments.

- a) Hire purchase, finance leasing- Provision of hire purchase and leasing facilities to customers
- b) Loans - Provision of Loan facilities to customers
- c) Factoring - Debt factoring
- d) Gold Loan - Provision of loans against gold

For the period ended 30th September	Finance leases, Hire purchases		Loans		Factoring		Gold Loan		Others		Total	
	2021 Rs.	2020 Rs.	2021 Rs.	2020 Rs.	2021 Rs.	2020 Rs.	2021 Rs.	2020 Rs.	2021 Rs.	2020 Rs.	2021 Rs.	2020 Rs.
Interest income	915,411,104	809,628,635	74,252,906	71,281,938	2,355,066	14,671,884	230,856,841	204,037,766	30,453,610	22,145,250	1,253,329,527	1,099,620,223
Fee and commission income	31,127,282	51,831,475	-	1,987,953	2,210,158	1,567,250	-	3,404,546	15,503,968	11,125,780	48,841,408	58,791,224
Other income	32,717,399	18,250,206		2,328,861		416,516.34		3,988,382	5,385,988	1,456,120	38,103,387	24,983,965
Total segmental income	979,255,784	879,710,316	74,252,906	75,598,751	4,565,224	16,655,650	230,856,841	211,430,694	51,343,567	34,727,150	1,340,274,322	1,183,395,412
Less: Interest expense	(391,392,775)	(520,861,447)	(29,677,691)	(66,465,758)	(1,824,647)	(11,887,389)	(92,269,764)	(113,828,545)	(20,521,197)	(16,380,125)	(535,686,073)	(713,043,139)
Segmental results	587,863,009	358,848,868	44,575,214	9,132,993	2,740,578	4,768,261	138,587,078	97,602,149	30,822,370	18,347,025	804,588,249	470,352,273
Depreciation and amortization	(20,155,294)	(12,609,357)	(1,528,292)	(1,609,047)	(93,963)	(287,778)	(4,751,555)	(2,755,636)	(1,056,766)	(856,125)	(27,585,871)	(17,261,818)
Impairment charge	(24,908,733)	(57,051,489)	(2,237,125)	(7,280,190)		(431,431)		-			(27,145,858)	(64,763,110)
Other Expenses	(362,583,386)	(298,841,205)	(27,493,195)	(38,134,339)	(1,690,339)	(6,820,320)	(85,478,030)	(65,308,461)	(19,010,686)	(12,450,135)	(496,255,637)	(409,104,325)
Value Added Tax and NBT on financial services	(33,542,023)	-	(2,543,353)	-	(156,371)	-	(7,907,439)	-	(1,758,649)		(45,907,834)	-
Income tax	(4,609,931)	-	(709,220.08)	-		-	(1,773,050)	-			(7,092,201)	
Profit/(loss) after tax	146,673,573	(9,653,183)	10,773,250	(37,890,583)	799,905	(2,771,268)	40,450,054	29,538,051	8,996,268	5,040,765	200,600,849	(20,776,983)
Segmental assets	9,135,257,000	9,155,523,561	1,279,322,000	1,419,005,607	145,260,646	253,788,912	2,742,001,000	2,430,173,818	2,681,127,110	2,125,450,630	15,930,310,118	15,223,059,947
Segmental liabilities	7,365,950,246	10,490,815,211	1,031,544,290	1,168,312,252	117,126,720	208,952,448	2,210,933,194	2,000,839,061	2,161,849,294	1,852,300,250	12,834,746,107	12,533,627,321

NOTES TO THE FINANCIAL STATEMENTS

- 1 These Interim Financial Statements of the Company have been prepared based on the Sri Lanka Accounting Standards that came into effect from January 01, 2012 (SLFRS/LKAS). There were no changes to the Accounting Policies and methods of computation since the publication of the Audited Financial Statements for the Year Ended 31 March 2021. Further, these Interim Financial Statements have been prepared in compliance with the requirements of the Sri Lanka Accounting Standard 34 (LKAS 34) on Interim Financial Reporting.
- 2 There are no material events that took place after the reporting date that require adjustments to or disclosure in the Financial Statements.
- 3 All known expenses have been provided for in these Financial Statements.
- 4 According to the CBSL circular No.06 of 2021 company applied only up to 10.68% p.a. interest rate for the third moratorium granted contracts and as a result of that Rs.5,793,970.00 income had foregone for the period ended 30 September 2021.
- 5 There are no significant changes in the nature of the Contingent Assets or Contingent Liabilities which were disclosed in the Audited Financial Statements for the year ended 31st March 2021.

Ordinary Share Information

The Company's Ordinary Shares are listed on the Diri Savi Board of the Colombo Stock Exchange (CSE).

Stated Capital

	30-Sep-21	30-Sep-20
Value of Ordinary Shares (Rs.)	2,431,879,039	2,431,879,039
No. of Ordinary Shares	211,101,155	211,101,155

Share Price During the Period

		For the Quarter Ended	
		30-Sep-21	30-Sep-20
Highest	(Rs)	16.40	12.00
Lowest	(Rs)	13.00	8.00
Closing	(Rs)	14.30	11.50

Shareholders as at 30 September 2021

	Name	No. of Shares	%
1	Janashakthi Limited Account No 01	196,010,494	92.85
2	First Capital PLC	2,138,299	1.01
3	Sandwave Limited	845,286	0.40
4	Hatton National Bank PLC/Sashimaal Ruhash Fernando	838,681	0.40
5	Mr.L.P. Mendis	566,495	0.27
6	Mr.R.A.B.K. Kumara	500,000	0.24
7	Mrs.I.P.I.L. Gunathilaka	404,000	0.19
8	Hatton National Bank PLC/Mushtaq Mohamed Fuad	402,557	0.19
9	Mr.N.L.S. Fernando	367,677	0.17
10	Commercial Credit and Finance PLC	330,000	0.16
11	Peoples Leasing & Finance PLC/L.P. Hapangama	321,488	0.15
12	Mr.A.S.A.Fernando	316,100	0.15
13	Peoples Leasing & Finance PLC/Mr.D.M.P. Disanayake	284,518	0.13
14	Seylan Bank PLC/Mohamed Mushtaq Fuad	241,592	0.11
15	Seylan Bank PLC/Karagoda Loku Gamage Udayananda	227,965	0.11
16	Mrs.V. Saraswathi	216,100	0.10
17	Mr.M.K. De Livera	207,728	0.10
18	DFCC Bank PLC/G.A.C. De Silva	173,868	0.08
19	Lotus Global Investments Ltd	171,650	0.08
20	Mr.A.A.D.S.D. Dharmarathne	155,944	0.07
	Others	6,710,713	3.18
	Total	211,101,155	100

Directors' Shareholding as at 30th September 2021

	Name of the Director	No. of Shares	%
1	Mr.K.M.A.T.B. Tittawella - Chairman	-	-
2	Mr. Prakash Anand Schaffter	10	-
3	Ms. Minette D. A. Perera	-	-
4	Ms. Indrani Goonesekara	-	-
5	Mr. Ramesh Schaffter	10	-
6	Mr. Sriyan Cooray	-	-
7	Mr.Darshana Joseph Ratnayake	-	-
8	Mr.K.M.M.Jabir	-	-
	Total	20	

CEO's Shareholding as at 30 September 2021

Mr.K.M.M.Jabir	-	-
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Public Holding as at 30 September 2021

Number of Public Shareholders	12,952,322
Public Shareholding Percentage	822
Float Adjusted market capitalization (Rs)	6.14%
	185,351,036

The CSE granted an extension in terms of section 7.13.3 (iii) of the Listing Rules to comply with the minimum public holding requirement until 04th March 2021. Due to the above non-compliance, currently the securities of the Company have been transferred to the Second Board with effect from 12th March 2021 at the expiration of extensions granted. Entities that are not compliant only with the minimum public holding requirement are listed on the Second Board.